IFRS 16 Lease Accounting - Methodology Note

Illustrative portfolio model: lease liability, ROU asset, amortization schedule and journal entries

Important: This is an illustrative portfolio model. Names, contract references and identifiers are anonymized. It is not an extract of any current or former employer's records, and no lease agreement is included.

1. Purpose and scope

The model shows how a lessee applies IFRS 16 *Leases* to a single property lease (a building used as a repacking unit): initial recognition of the lease liability and right-of-use (ROU) asset, monthly subsequent measurement, and the related journal entries. Short-term and low-value exemptions (IFRS 16.5-8) are not applicable to this lease.

2. Key inputs (as per model)

Input	Value	Basis
Lease term	72 months (Feb 2023 - Jan 2029)	Non-cancellable period per lease terms
Monthly rent	341,890 (stepping to 358,984 from Feb 2026)	Fixed 5% escalation in lease terms; included in lease payments
Payment timing	Annuity due - first payment at commencement	Rent due early in each month
Advance rent	683,780 (2 months)	Paid at/before commencement; applied against last 2 months' rent
Discount rate	8.5% p.a. (0.7083% per month)	Incremental borrowing rate (IFRS 16.26)
Security deposit	1 month's rent, refundable	Not a lease payment; outside the lease liability

3. Initial recognition (IFRS 16.22-27)

Lease liability = present value of remaining lease payments, discounted at the monthly rate *i* = 8.5% / 12:

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PV = SUM over n = 0..71 of Payment(n) / (1 + i)^n
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Payment(n) is the monthly rent less any advance applied in that month. **ROU asset** (IFRS 16.23-24) = lease liability + payments made at or before commencement (advance rent). No initial direct costs, incentives or restoration costs are assumed.

Initial recognition	Amount
Lease liability (PV of lease payments)	19,374,133
Add: advance rent	683,780
ROU asset	**20,057,913**

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Dr ROU asset / Cr Lease liability / Cr Advance (prepayment)
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4. Subsequent measurement (IFRS 16.29-38)

Lease liability is rolled forward each month on an effective-interest basis:

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Interest(n) = Opening liability(n) x i
Principal(n) = Lease payment(n) - Interest(n)
Closing(n) = Opening(n) - Principal(n)
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ROU asset is carried at cost less accumulated depreciation (IFRS 16.29-31) and depreciated straight-line over the lease term (IFRS 16.32): 20,057,913 / 72 = 278,582 per month. The total P&L charge each month is depreciation plus interest, which is front-loaded compared with the straight-line rent it replaces.

Annual summary from the model

Year	Lease payments	Interest expense	ROU depreciation	Closing liability
2023	3,760,790	1,280,849	3,064,403	16,894,192
2024	4,102,680	1,329,625	3,342,986	14,121,136
2025	4,102,680	1,084,512	3,342,986	11,102,968
2026	4,290,720	810,930	3,342,986	7,623,178
2027	4,307,814	501,968	3,342,986	3,817,332
2028	3,965,924	165,566	3,342,986	16,974
2029	17,094	120	278,582	0
Total	**24,547,702**	**5,173,569**	**20,057,913**	

Note: 2023 covers Feb-Dec (11 months); 2029 covers January only. Closing liability for 2029 is nil.

5. Monthly journal entries (illustrative)

Entry	Debit	Credit
Rent / lease payment accrual	Lease liability (principal); Interest expense	Accounts payable - lessor
Payment to lessor	Accounts payable - lessor	Bank; Withholding tax payable (5% of rent)
Withholding VAT (15% of rent)	VAT expense / recoverable per local rules	Withholding VAT payable
ROU depreciation	Depreciation expense	Accumulated depreciation - ROU asset
Remittance of withheld tax and VAT	Withholding tax payable; Withholding VAT payable	Bank

Withholding tax and VAT rates are local statutory assumptions, handled outside IFRS 16 and should be re-assessed for any real engagement. The workbook includes a check row confirming that rent equals principal plus interest each month (difference = 0).

6. Integrity checks built into the model

• Total lease payments = initial liability + total interest (verified in this note).

• Lease liability closes at nil after the final payment.

• ROU asset net book value closes at nil (rounding below 2 currency units).

• Journal entries balance each month (total column = 0).

7. Key judgements and limitations

• **Discount rate:** the incremental borrowing rate is an assumption; the rate implicit in the lease is not readily determinable.

• **Lease term:** no extension or termination options are assumed to be reasonably certain. A change would require remeasurement (IFRS 16.39-43).

• **Security deposit:** shown as a refundable deposit outside the lease liability; strictly it is a financial asset under IFRS 9 and may carry an implicit discount.

• **Not modelled:** variable payments, lease modifications, deferred tax, impairment of the ROU asset (IAS 36), and disclosure tables (IFRS 16.51-60).

• **Presentation:** ROU asset and lease liability are presented separately, with current and non-current split of the liability (IFRS 16.47).

Tools: Microsoft Excel. Standard: IFRS 16 Leases. Assumptions should be independently verified before relying on this model for any specific lease.